the state may forbid, as inimical to the public welfare, the prosecution of a particular type of business,[12] or regulate a business in such manner as to abate evils deemed to arise from its pursuit.[13] Whatever a state may forbid or regulate it may permit upon condition that a fee be paid in return for the privilege,[14] and such a fee may be exacted to discourage the prosecution of a business or to adjust competitive or economic inequalities.[15] Taxation may be made the implement of the exercise of the state's police power;[16] and proper and reasonable discrimination between classes to promote fair competitive conditions and to equalize economic advantages is therefore lawful.[17]

If, in the interest of the people of the state, the legislature deemed it necessary either to mitigate evils of com-

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[12] *License Cases,* 5 How. 504; *Mugler* v. *Kansas,* 123 U. S. 623, 662–663; *Williams* v. *Arkansas,* 217 U. S. 79; *Central Lumber Co.* v. *South Dakota,* 226 U. S. 157, 162.

[13] *Ozan Lumber Co.* v. *Union County Bank,* 207 U. S. 251; *Engel* v. *O'Malley,* 219 U. S. 128, 137.

[14] *Wiggins Ferry Co.* v. *East St. Louis,* 107 U. S. 365, 373, 374–376.

[15] *American Sugar Refining Co.* v. *Louisiana,* 179 U. S. 89, 92–95; *Reymann Brewing Co.* v. *Brister,* 179 U. S. 445, 453; *Williams* v. *Fears,* 179 U. S. 270, 276; *W. W. Cargill Co.* v. *Minnesota,* 180 U. S. 452, 469; *McCray* v. *United States,* 195 U. S. 27, 60; *Brown-Forman Co.* v. *Kentucky,* 217 U. S. 563, 573; *Quong Wing* v. *Kirkendall,* 223 U. S. 59, 62; *Brazee* v. *Michigan,* 241 U. S. 340, 342; *Alaska Fish Co.* v. *Smith,* 255 U. S. 44; *Liberty Warehouse Company* v. *Tobacco Growers Assn.,* 276 U. S. 71, 96; *Sproles* v. *Binford,* 286 U. S. 374, 394; *Magnano Co.* v. *Hamilton,* 292 U. S. 40, 43, 44; *Fox* v. *Standard Oil Co.,* 294 U. S. 87, 100; *Sonzinsky* v. *United States,* 300 U. S. 506.

[16] *Gundling* v. *Chicago,* 177 U. S. 183, 188, 189; *Rast* v. *Van Deman & Lewis Co., supra,* 368; *Compañia General* v. *Collector,* 275 U. S. 87, 95, 96; *Sonzinsky* v. *United States, supra.*

[17] *Bradley* v. *Richmond,* 227 U. S. 477, 480, 484; *Hammond Packing Co.* v. *Montana,* 233 U. S. 331, 333–334; *Rast* v. *Van Deman & Lewis Co., supra;* p. 368; *Tanner* v. *Little,* 240 U. S. 369, 382–383; *St. Louis Poster Advertising Co.* v. *St. Louis,* 249 U. S. 269, 274.

petition as between single stores and chains or to neutralize disadvantages of small chains in their competition with larger ones, or to discourage merchandising within the state by chains grown so large as to become a menace to the general welfare, it was at liberty to regulate the matter directly or to resort to the type of taxation evidenced by the Act of 1934 as a means of regulation. The appellants, by incorporating in some other state, or by spreading their business and activities over other states, cannot set at naught the public policy of Louisiana. The claim is, essentially, that even if local evils flow from the appellant's methods the state cannot control those evils because its power is limited to conditions created by the members of the chain found within the state. The conclusion is that the state must treat these stores as if they were something different from what they really are, since to do otherwise would be to reach beyond the borders of Louisiana for the measure of the tax. The argument answers itself. The policy Louisiana is free to adopt with respect to the business activities of her own citizens she may apply to the citizens of other states who conduct the same business within her borders, and this irrespective of whether the evils requiring regulation arise solely from operations in Louisiana or are in part the result of extra-state transactions. It is not a denial of due process to adjust such license taxes as are here involved to meet the local evil resulting from business practices and superior economic power even though those advantages and that power are largely due to the fact that the taxpayer does business not only in Louisiana but in other states.

Third. Montgomery Ward & Company, one of the appellants, filed a bill of intervention. In addition to the objections already considered it contends that, as applied to its business, the act of 1934 constitutes an interference with and a regulation of interstate commerce forbidden by Art. I, § 8 of the Constitution. The allegation is that

this appellant owns and operates five stores in Louisiana and four hundred and eighty-six others spread over forty-five states; owns and operates nine mail order houses located in states other than Louisiana and nineteen so-called order stations located at various points outside Louisiana, the mail order houses and order stations all being exclusively engaged in interstate commerce. The order stations are installed in rented spaces with one regular employe at each and with a stock of samples, the only business transacted in them being the taking of orders which are transmitted to, and filled by, the mail order houses. With respect to the operation of the act the bill states: "Intervenor alleges that while the present administrative interpretation of said Act 51 of the Louisiana Legislature of 1934 apparently limits the operation of said Act to the intervenor's retail stores, the words 'mercantile establishments' used in said Act apparently include the aforesaid mail order houses and order stations owned and operated by the intervenor. Said Act does not by its terms exclude from its operation said establishments engaged in interstate commerce, and, therefore, violates the Commerce Clause of the United States Constitution . . ."

The trial court found the facts as follows:

"Montgomery Ward & Company, an Illinois corporation, operates 9 mail order establishments engaged in filling orders received from points in the United States and foreign countries through the mail. None of these mail order establishments are situated in Louisiana. The Company also has 19 mail order offices, none of which are situated in Louisiana; 17 Class A department stores carrying a complete line of general merchandise, none of which are situated in Louisiana; 456 Class B retail stores of limited size and carrying a limited line of merchandise, of which 5 are located in Louisiana; and 16 Class C stores